

Home Based Services Market Sizing Report for Nepal

TAM, SAM and TOM Analysis

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Research Scope: Nepal

1. Executive Summary

This report looks at the market opportunity for home-based services in Nepal using the TAM, SAM and TOM framework. The numbers are based on two official sources, the 2021 Census and the NLSS IV household survey from 2022/23. Where no official data was available, I used two clearly stated assumptions. Every number in this report can be traced back to either an official source or a stated assumption.

The total market (TAM) is about NPR 56.58 billion, based on all 6.67 million households in Nepal. If we only look at households with internet access, which is 37.8 percent of all households, the market (SAM) comes down to about NPR 21.39 billion. If we then assume a 3 percent market share, which is a realistic starting point for a new service, the obtainable market (TOM) is about NPR 0.64 billion. This is the number that matters most for near term planning.

2. Methodology

The approach starts from the full market and narrows it down in two steps to reach a realistic obtainable market.

- TAM is the total number of households in Nepal multiplied by how much they spend on home-based services each year.
- There is no official category for home-based services spending in Nepal, so I assumed it is 3 percent of total household spending. This is based on similar categories like household maintenance, repair, cleaning and domestic help.
- SAM only counts households with internet access, since most home-based service bookings happen online.
- TOM assumes we can capture 3 percent of SAM in the early stage. This is a common starting assumption for a new service entering a market.

3. Base Data (Official)

These numbers come straight from official government sources. Nothing here is adjusted or estimated.

Metric	Value	Type	Source
Total Households in Nepal	6,666,937	Official	Census 2021

Average Household Size	4.37 persons	Official	Census 2021
Average Annual Household Expenditure	NPR 282,896	Official	NLSS IV (2022/23)

4. Market Assumption

Since there is no official category for this in Nepal, I made one assumption below to get from total household spending to home service spending.

Metric	Value	Type	Justification
Home-Based Services Share of Expenditure	3%	Assumption	Derived from household maintenance, repair, cleaning, and domestic services; no official Nepal category exists
Average Annual Home-Service Spending per Household	NPR 8,486.88	Calculated = $282,896 * 3\%$	Derived from household expenditure * assumed service share

5. TAM, SAM and TOM Calculation

5.1 TAM (Total Addressable Market)

Metric	Value	Type
TAM (Households)	6,666,937	Official
TAM (Value)	NPR 56,581,494,287	Calculated = Total Households * Average Spending per HH

5.2 SAM (Serviceable Available Market - Internet Based)

Metric	Value	Type
Internet Access Rate	37.8%	Official
SAM (Households)	2,520,102	Calculated = Total Households * Internet Access Rate
SAM (Value)	NPR 21,387,804,840	Calculated = SAM Households * Average Spending per HH

5.3 TOM (Target Obtainable Market)

Metric	Value	Type
Market Share Assumption	3%	Assumption
TOM (Households)	75,603	Calculated = SAM Households * Market Share Assumption
TOM (Value)	NPR 641,634,145	Calculated = TOM Households * Average Spending per HH

5.4 Summary

Layer	Households	Value (NPR)	% of TAM
TAM	6,666,937	56.58 Bn	100.0%
SAM	2,520,102	21.39 Bn	37.8%
TOM	75,603	0.64 Bn	1.13%

6. Visual Analysis

6.1 Market Sizing Overview

The circles below show how the market gets smaller as we move from TAM to SAM to TOM. Each smaller circle sits inside the bigger one, showing what is left after we apply the internet access filter and the market share assumption.

TAM-SAM-TOM Market Sizing

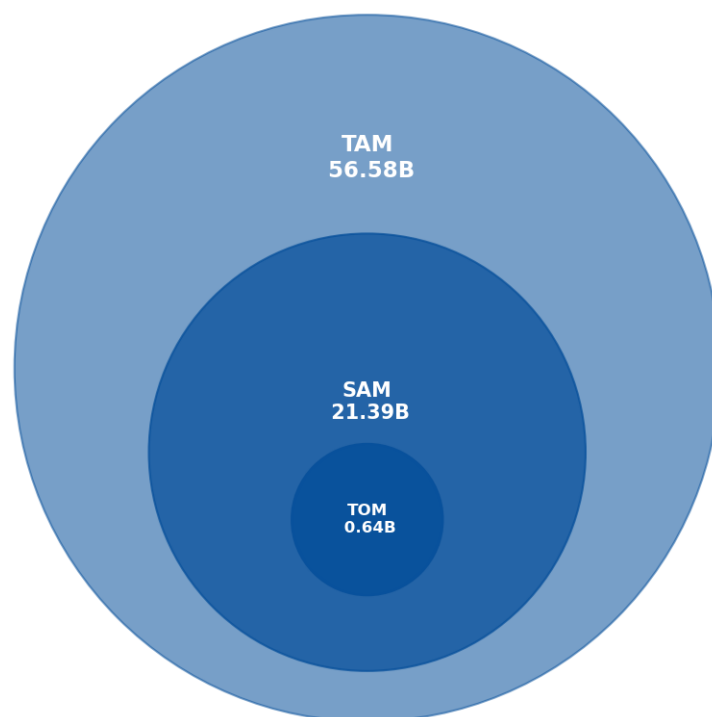


Figure 1: TAM, SAM and TOM Market Sizing (NPR Billion)

6.2 Percentage of TAM Retained at Each Stage

This chart shows how much of the total market is left at each stage. Internet access brings it down to 37.8 percent of TAM. The market share assumption brings it down further to 1.13 percent of TAM at the TOM stage.

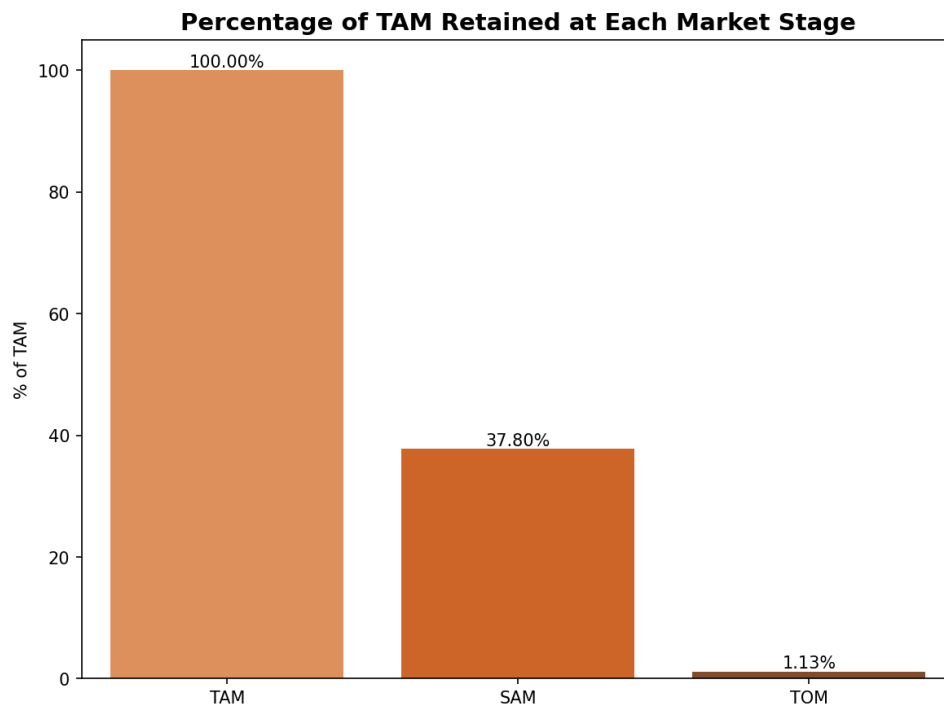


Figure 2: Percentage of TAM Retained at Each Market Stage

6.3 Sensitivity Analysis, Market Share Assumption

The 3 percent market share number has a big effect on the final TOM value, so this chart shows what happens if that number changes, from 1 percent to 10 percent. TOM value goes from about NPR 0.21 billion at 1 percent share to about NPR 2.14 billion at 10 percent share. The relationship is a straight line, so the model is easy to adjust once we have real numbers.

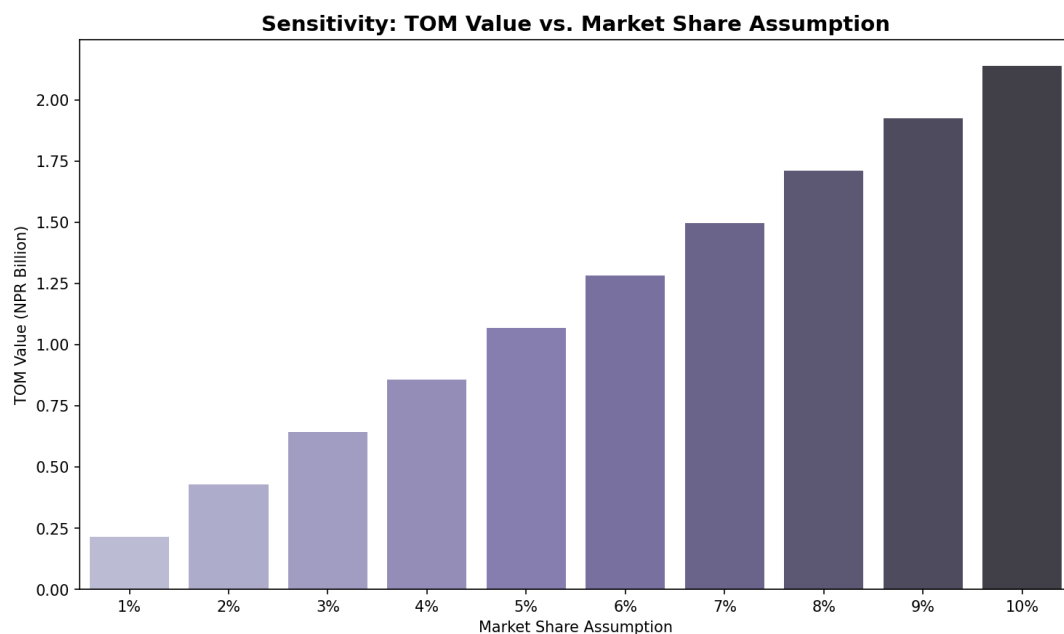


Figure 3: Sensitivity of TOM Value to Market Share Assumption

6.4 Input Data Composition

This chart shows how much of the model is based on official data versus assumptions. 71 percent of the inputs come from official sources, the Census and NLSS IV. The other 29 percent are assumptions we made because no official category exists for this market.

Input Data: Official vs. Assumption Split

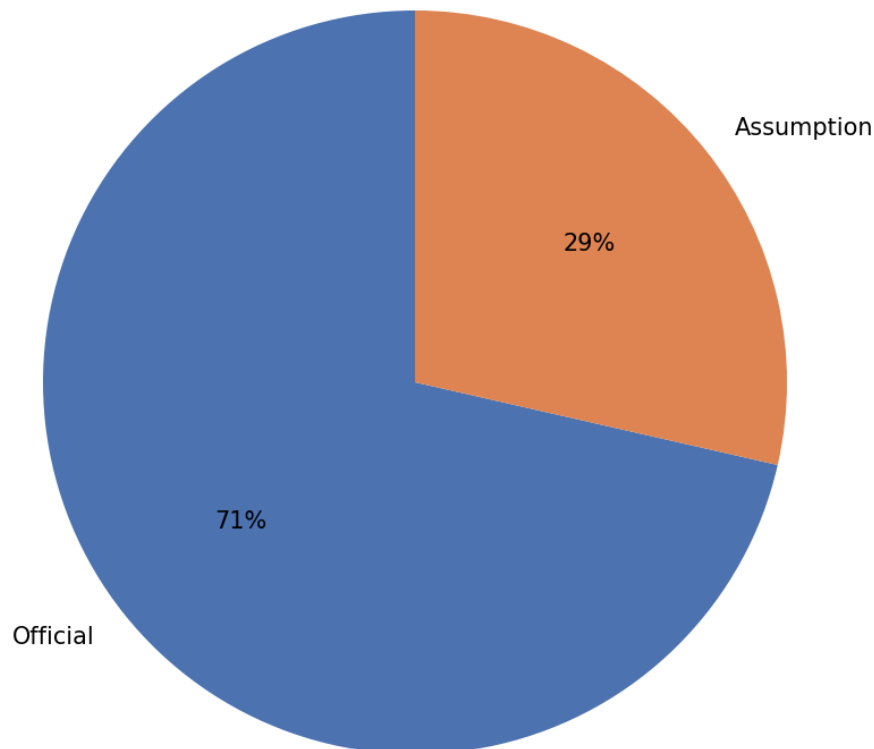


Figure 4: Input Data: Official vs Assumption Split

7. Key Insights

- Internet access is the biggest factor that shrinks the market. It removes 62.2 percent of TAM on its own.
- The obtainable market (TOM) of NPR 0.64 billion is a realistic early-stage target, not the full size of the opportunity.
- TOM value moves in a straight line with the market share assumption, so it is easy to update once we have real traction data.
- Most of the model, 71 percent, is based on official Census and NLSS data. Only two numbers in the whole model are assumptions.

8. Limitations and Assumptions

- There is no official category for home-based services spending in Nepal. The 3 percent figure is our own assumption, based on similar spending categories.
- Internet access is used to estimate who can realistically use the service. The real number of reachable households could be different depending on smartphone use, payment access, and awareness of the service.
- The 3 percent market share assumption is a starting point for an early-stage business. It should be updated once we have real user data.
- All NPR values are based on 2022/23 spending data and 2021 household counts. We have not adjusted for inflation or population growth since then.